Deficit

Deficit means shortage. Here deficit refers to the shortage of money for expenditure. The gap between the receipts and expenditure is called deficit. There are various types of deficits which are explained below. (In the case of equations, you just keep in mind the words in italics. The words in normal letters are to make its components in detail.)

Budget Deficit

It is the difference between Total Expenditure and Total Receipts. Budget deficit is always zero. It doesn't have any meaning in the Central Government budget. So

Budget Deficit = Total Expenditure – Total Receipts

= (Capital expenditure + Revenue expenditure)
– (Capital Receipts + Revenue Receipts)

= (Capital expenditure + Revenue expenditure)
– {(Borrowings and other liabilities + Receipts
other than Borrowing) + (Revenue Receipts)}

Revenue Deficit

Revenue deficit is the difference between revenue expenditure and revenue receipts.

Revenue Deficit = (Revenue Expenditure – Revenue Receipts)

Or

= [Current Revenue Expenditure – Current Revenue Receipts]

Effective Revenue Deficit